

Table 1: Key Metrics Used for Assessment

Metric Category	Metric Name	Value / Description	Source File
Market Data	Share Price	£2.08	data/SPI/SPI_agent_ratios.md
	Market Cap	£871.1m	data/SPI/SPI_agent_ratios.md
Valuation Ratios	P/E Ratio	17.1x	data/SPI/SPI_agent_ratios.md
	EV/EBITDA	8.5x	data/SPI/SPI_agent_ratios.md
	EV/EBIT	15.4x	data/SPI/SPI_agent_ratios.md
	EV/Revenue	0.7x	data/SPI/SPI_agent_ratios.md
	Price to FCF	3.5x	data/SPI/SPI_agent_ratios.md
	FCF Yield	28.4%	data/SPI/SPI_agent_ratios.md
Profitability Ratios	Gross Margin	45.2%	data/SPI/SPI_agent_ratios.md
	Operating Margin	9.4%	data/SPI/SPI_agent_ratios.md
	Net Margin	1.7%	data/SPI/SPI_agent_ratios.md
	Return on Equity (ROE)	6.8%	data/SPI/SPI_agent_ratios.md
	Return on Capital Employed	6.8%	data/SPI/SPI_agent_ratios.md
Liquidity Ratios	Current Ratio	0.7	data/SPI/SPI_agent_ratios.md
	Quick Ratio	0.5	data/SPI/SPI_agent_ratios.md
Leverage Ratios	Debt-to-Equity	1.7	data/SPI/SPI_agent_ratios.md
	Interest Coverage	0.7x	data/SPI/SPI_agent_ratios.md
	Net Debt/EBITDA	5.0	data/SPI/SPI_agent_ratios.md
Efficiency Ratios	Inventory Turnover	35.5x	data/SPI/SPI_agent_ratios.md

Metric Category	Metric Name	Value / Description	Source File
Earnings Quality	Days Sales Outstanding	9 days	data/SPI/SPI_agent_ratios.md
	Accruals Ratio	-17.9%	data/SPI/SPI_agent_ratios.md
	EBITDA to FCF Conversion	99.3%	data/SPI/SPI_agent_ratios.md
	Adjusted vs Statutory Gap	0.0	data/SPI/SPI_agent_ratios.md
Asset Quality Ratios	Goodwill/Assets	17.6%	data/SPI/SPI_agent_ratios.md
	Tangible Book Value	£308.8m	data/SPI/SPI_agent_ratios.md
Cash Flow Metrics	Cash Conversion	9.3	data/SPI/SPI_agent_ratios.md
	Free Cash Flow	£123.6m	data/SPI/SPI_agent_ratios.md
Ownership & Remuneration	CEO Justin Ash Shareholding	848,740 shares (296.78% of base guideline)	data/SPI/SPI_notes.md (remuneration and ownership tables)
	Executive Remuneration Structure	Mix of fixed pay, annual bonus linked to EBITDA & FCF, and LTIPs tied to TSR, ROCE etc.	data/SPI/SPI_notes.md (remuneration section)
Auditor Opinion	Auditor's Opinion	Unqualified audit opinion; Going concern assumption confirmed	data/SPI/SPI_auditor_report.md

Table 2: Metric Assessments and Verdicts

Metric Category	Metric Name	Verdict & Assessment Summary
Valuation	P/E Ratio	FAIL — High multiple (17.1x) implies overvaluation relative to profits
	EV/EBITDA	FAIL — 8.5x is above conservative threshold indicating expensive valuation
	EV/EBIT	FAIL — 15.4x well above desirable range, reaffirms valuation risk
	EV/Revenue	FAIL — 0.7x below threshold, showing poor revenue relative to EV

Metric Category	Metric Name	Verdict & Assessment Summary
	Price to FCF	FAIL — 3.5x, cheap but cautioned due to valuation mismatch with earnings
	FCF Yield	PASS — Strong at 28.4%, good indicator of cash flow generation
Profitability	Gross Margin	PASS — Healthy at 45.2%, shows strong core profitability
	Operating Margin	MONITOR — Moderate 9.4%, profitability under pressure
	Net Margin	MONITOR — Low at 1.7%, profitability thin
	Return on Equity (ROE)	MONITOR — Below target at 6.8%, weak returns
	Return on Capital Employed	FAIL — 6.8% below minimum threshold for returns
Liquidity	Current Ratio	FAIL — 0.7 signals poor short-term liquidity risk
	Quick Ratio	MONITOR — 0.5 borderline, concerning liquidity
Leverage	Debt-to-Equity	FAIL — High leverage 1.7 increases financial risk
	Interest Coverage	FAIL — Poor coverage (0.7x) indicates trouble meeting interest payments
	Net Debt/EBITDA	FAIL — 5.0, very high financial risk
Efficiency	Inventory Turnover	PASS — Excellent at 35.5x, strong inventory management
	Days Sales Outstanding	PASS — Robust receivables collection with only 9 days
Earnings Quality	Accruals Ratio	PASS — Negative accruals indicate conservative accounting
	EBITDA to FCF Conversion	PASS — Very high at 99.3%, reflects quality earnings
	Adjusted vs Statutory Gap	PASS — No material adjustments
Asset Quality	Goodwill/Assets	PASS — Moderate goodwill at 17.6%, manageable asset risk
	Tangible Book Value	PASS — £308.8m tangible book value supports balance sheet
Cash Flow	Cash Conversion	PASS — Excellent conversion at 9.3x
	Free Cash Flow	PASS — Large £123.6m positive FCF
Ownership	CEO Justin Ash Shareholding	PASS — Significant shareholding well above guideline (296.78%), strong alignment

Metric Category	Metric Name	Verdict & Assessment Summary
	Executive Incentives	PASS — Bonuses and LTIPs aligned with EBITDA, FCF and strategic goals
Auditor Opinion	Going Concern	PASS — Auditors confirm going concern and no material issues

Detailed Analysis

Valuation:

All earnings-based and enterprise value multiples (P/E 17.1x, EV/EBITDA 8.5x, EV/EBIT 15.4x, EV/Revenue 0.7x, Price to FCF 3.5x) fail conservative thresholds, signaling possible overvaluation relative to earnings and revenue base. The market apparently prices in growth but thin margin profile and high leverage challenge these multiples. Notably, the free cash flow yield (28.4%) is a strong positive, indicating the company generates significant cash relative to price, offering a potential valuation counterpoint.

Profitability:

Gross margin of 45.2% is solid, reflecting good core cost control. However, operating margin of 9.4% and net margin of just 1.7% are only moderate, suggesting operational overhead and finance costs pressure profitability. Returns on equity and capital employed are weak, both at 6.8%, clearly below industry or desired thresholds, signaling inefficient capital use and weak returns to shareholders.

Liquidity and Leverage:

Liquidity is concerning; current ratio at 0.7 is a clear fail, and quick ratio at 0.5 is borderline problematic. The company's ability to meet short-term obligations is constrained. High leverage (Debt to Equity 1.7) and poor interest coverage (0.7x) mean elevated financial risk from debt servicing. Net debt to EBITDA at 5.0 further highlights risky leverage levels.

Efficiency:

Inventory turnover and days sales outstanding (DSO) are excellent, indicating strong working capital management and quick conversion of sales to cash. Very low DSO of 9 days points to effective receivables collection, mitigating cash flow risks from sales.

Earnings Quality:

Accruals ratio negative (-17.9%) suggests conservative accounting, reducing distortion in earnings. EBITDA to free cash flow conversion of 99.3% reflects high earnings quality, free cash flow closely tracks EBITDA. Adjustments gap is zero, supporting reliability of reported figures.

Asset Quality:

Goodwill comprises 17.6% of assets, a manageable level without excessive risk of impairment. Tangible book value of £308.8m with stable asset base gives solid backing to the balance sheet, reducing concerns over intangible assets dominance.

Cash Flow:

Cash conversion of 9.3x and FCF of £123.6m demonstrate excellent cash flow generation translating earnings into real cash. This strong cash flow supports dividend potential, debt servicing, and reinvestment.

Ownership and Remuneration:

CEO Justin Ash holds a substantial 848,740 shares equating to 296.78% of guideline ownership level, representing strong alignment with shareholders. Executive remuneration mixes fixed pay, bonuses tied to EBITDA, free cash flow, and long term incentives based on TSR, ROCE, and regulatory metrics, reinforcing performance-driven compensation aligned with sustainable value creation.

Auditor's Opinion:

The independent auditor issues an unqualified opinion validating the financial statements' fairness and confirms the appropriateness of the going concern assumption. Their assessment strengthens confidence in the reported financial data and sustainability outlook.

Conclusion

Spire Health exhibits a mixed financial profile. Strong operational cash flow metrics, high working capital efficiency, and solid gross margins signify operational competence and cash generation capability. However, subpar profitability, weak returns, substantial leverage, and poor liquidity ratios elevate financial risk. The elevated valuation multiples relative to fundamental earnings and cash flow metrics suggest market optimism that may be stretched given current margin and financial risk profiles.

Management's significant share ownership and transparent bonus structures linked to financial performance provide a positive governance signal. The auditor's clean report supports financial statement reliability.

Investors should exercise caution on liquidity and leverage concerns, monitor ongoing profitability improvements, and evaluate valuation multiples against improving fundamentals. A fuller cash flow statement analysis would enhance insight into cash flow trends.

Additional Recommendations

- Obtain detailed cash flow statement analysis for capital expenditure, investing, and financing trends.
- Increased disclosure on NHS contract dependencies and potential associated risks.
- Monitor future capex and debt refinancing plans to assess impact on leverage and liquidity.

Signed,

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